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ATTACHMENT EPM-03-014AT2 – Probability Definitions

	Financial	Safety, Health & Environment		Supplier/Customers/ Partners		Law and Regulation	Reputation/Image		Deviation
	Schedule Impact Exposure to loss from a project not meeting its schedule objectives. Cost Probability of loss due to cost overrun (Also includes decreases in revenue/EBITDA.)	Safety and Health A situation or circumstance that includes the possibility of injury to someone or of damage to property.	Environment Actual or potential threat of adverse effects on living organisms and environment by effluents, emissions, wastes, resource depletion, etc., arising out of an organization's activities.	Supplier	Customers		Reputation & Image The risk that a company will lose potential business because its character has been called into question.	Negative News	
5 Severe	Project Delay : $X > 20\%$ of project timeframe or <u>> 6 months</u> Cost Overrun : $X > 20\%$ of total project cost EBITDA : Having $> 20\%$ impact on 1st full-year EBITDA of the project	Single or Multiple Fatalities - permanent injury or disability, many disabilities or death > 1 person. Severely affects health. The communities surrounding the factory were affected by occupation and had to evacuate the area for > 1 year. There are employees or contractors to strike, stop work.	Significant harm with widespread effect. Recovery measurable longer than 1 year to recover. Limited prospect of full recovery.	Partner : Cancellation of the contract for the sale of goods and services Affects sales $> 50\%$ of sales/year	Customer: Towards the (Boycott) purchase of goods and services Affects sales $> 50\%$ of sales/year	[Black Swan] The company was delisted from the stock exchange. Illegal criminal or civil law and order the company to stop doing business. License revoked or temporarily suspend.	[Black Swan] reputation and image of the company severe damage severely affected confidence And it is a national issue that the relevant ministries or government agencies are monitoring. Review and jointly take corrective action. Disaster with potential to lead to collapse of the project. Long term regional impact.	Received complaints as negative news There is news in foreign media.	Below target $>50\%$
4 Major	Project Delay : $X \geq 10\%$ of project timeframe or <u>≥ 3 months</u> Cost Overrun : $X \geq 10\%$ of total project cost •EBITDA : Having $X \geq 10\%$ impact on 1st full-year EBITDA of the project	Major or Multiple Injuries - permanent injury or disability or to the point of disability or death. Affects a lot of health. There are protests or formal complaints.	Significant harm with local effect. Causes a lot of damage to the environment. It takes more <u>than</u> 6-12 months to recover.	Losing major partners Major partners are unable to deliver goods or services.	Lose a big customer Trading volume of major products decreased by more than 20% Major customers are unable to pay for products.	Illegal, criminal or civil law. or in violation of the Company's regulations, criminal penalties, imprisonment and fines.	Reputation and image damage was so severe that it resulted in the lack of confidence in outsiders or organizations. A critical event which requires extraordinary management effort. Localised, long term impact with unmanageable outcomes.	Received complaints as negative news. There is news in the media at the national level.	Below target $>30\%-50\%$
3 Moderate	Project Delay : $6\% \leq X < 10\%$ of project timeframe or <u>≤ 3 months</u> Cost Overrun : $6\% \leq X < 10\%$ of total project cost EBITDA : Having $6\% \leq X < 10\%$ impact on 1st full-year EBITDA of the project	Serious Injuries require Medical Treatment, or Lost Work Case. Moderate impact on health and long-term morale	Moderate harm with possible wider effect. Recovery measurable 3-6 months to recover.	Major partners Make a letter expressing dissatisfaction (Official Complain) Major partners are able to deliver some products or services.	Major customers Make a letter expressing dissatisfaction (Official Complain) Trading volume of major products decreased by 10-20% Major customers can deliver some products or services.	May make it unlawful. or the regulations of the company (Non-compliance with laws/Articles of association).	Affects the reputation and image of the Company Moderately causes dissatisfaction from the community or the public. A serious event which requires additional management effort. Localised, long term impact but manageable.	It's negative news. There is news released in the media at the provincial and regional level.	Below target $>10\%-30\%$
2 Minor	Project Delay : $3\% \leq X < 6\%$ of project timeframe or <u>≤ 2 months</u> Cost Overrun : $3\% \leq X < 6\%$ of total project cost as BOD approval EBITDA : Having $3\% \leq X < 6\%$ impact on 1st full-year EBITDA of the project	Minor Injuries require Medical Treatment with/or Restricted Work Case. Low impact on health and short-term morale	Less damage to the environment. Recovery measurable less than 3 months to recover.	Verbal complains. Retail partners are unable to deliver goods or services.	Customers express dissatisfaction (Verbal complains). Trading volume of major products decreased by 5-10%. Retail customers are unable to pay for products. Retail partners are unable to deliver goods or services.	May cause non-conformance. or standards within the company (Non-conformance).	Affects the reputation and image of the company slightly, can be corrected in a short period of time. An adverse event which can be absorbed with some management effort. Localised, short term impact.	Receive complaints from the community through informal company channels It's negative news. There is news in the local media.	Below target $>5\%-10\%$
1 Insignificant	Project Delay : $X < 3\%$ of project timeframe or <u>≤ 1 month</u> Cost Overrun : $X < 3\%$ of total project cost EBITDA : Having $X < 3\%$ impact on 1st full-year EBITDA of the project	First Aid Case There were no injuries or minor injuries at first aid level. No effect or minimal impact on health and morale.	No impact on baseline environment. Localized to point source. No recovery required.	Retail partners Dissatisfied, complained back. Retail partners can deliver some products or services.	Retail customers Dissatisfied, complained back. Product trading volume dropped below 5% Retail customers can pay for some products.	Failure to comply with laws or regulations. but in a way that can be easily fixed.	Little impact on reputation and image of the company. Impact can be absorbed through normal activity. Localised temporary impact.	It's not a trend in the local media.	Below target $<5\%$



		LIKELIHOOD (FREQUENCY)				
		1	2	3	4	5
		Rarely	Unlikely	Occasional	Likely	Most Likely
Probability		< 5%	5% - 10%	>10% - 25%	>25% - 50%	> 50%
	Probability of Future Events	Highly unlikely to occur on this project	Given current practices and procedures, this event is unlikely to occur on this project	This event has occurred on a similar project	Event is Likely to occur on this project	Event is very likely to occur on this project, possibly several times
	Probability of Past Events	Never happened or may occur over a period of more than 3 years	Has happened once in the past 3 years in an industry or business or system similar to that of GCME.	Has happened more than once in the past 3 years in an industry or business or system similar to that of GCME.	Has happened 1 time locally or more times in the GCME in the past 1 year.	Has happened more than 1 time locally in the past 1 year in GCME
Experience / Capability to	Work process/ Ability to Control	The workflow is simple. and less chance of error There is a good audit or control. Has a very good control ability.	The workflow is more complicated. But there is also good monitoring or control. Have good control ability	The work process is complicated. But there is a check or moderately controlled. Have some or moderate control ability	The work process is complicated. and there are few checks or still have little control. Little control ability	The workflow is very complicated. and no inspection or has never been regulated. There is little or no control ability.
	Past Experience and Success	Have direct experience in that business or job	Very experienced in a similar business or type of work	Have some or moderate experience in that business or job	little experience in that business or job	Little or no experience in that business or job